

# About Value Degradation Standard (VDGS)

## About Value Degradation Standard (VDGS)

Architecture: VFM® — Value Flow Mechanisms Architecture Category: Governance & Enforcement Subcategory: Value Lifecycle Governance Parent Standard: Value Degradation Standard (VDGS) Governed Space: Value Degradation

---

## Canonical Definition

Value Degradation Standard (VDGS) governs how existing positive value weakens, declines, deteriorates, erodes, or becomes progressively impaired while value continues to exist.

VDGS establishes the governed space between ordinary Value Change and eventual Value Nullification.

Its central distinction is:

Value may decline without disappearing.

The Standard makes deterioration governable by identifying when degradation begins, what dimension of value is affected, how materially value has weakened, how degradation progresses over time, and what positive value remains.

---

## Why VDGS Matters

Organizations frequently recognize value when it is created, acquired, developed, or lost.

The intermediate process of value deterioration is often much less clearly governed.

An industrial asset may gradually lose productive capability.

A technology may become increasingly obsolete.

A dataset may lose relevance.

Organizational knowledge may decay.

Infrastructure may become progressively less reliable.

A commercial capability may weaken while remaining economically useful.

None of these conditions necessarily means that value has disappeared.

VDGS creates a common governance structure for identifying and tracking this intermediate state.

It prevents:

Declining Value

from being confused with:

Zero Value.

---

## VFM® Governance Flow

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development → Value Degradation → subsequent VFM® lifecycle spaces

VDGS occupies the eighth governed space of VFM®.

The preceding Value Development Standard (VDS) governs how existing value strengthens, matures, grows, or compounds.

VDGS governs the corresponding negative lifecycle direction:

Existing Positive Value → Value Weakening → Progressive Degradation → Reduced Positive Value

The architectural boundary is:

Value Development ≠ Value Degradation ≠ Value Nullification.

---

## What VDGS Helps Organizations Govern

VDGS provides a structured way to determine:

What value is degrading?

Which value dimension is affected?

What was the previous governed condition?

How much degradation has occurred?

How quickly is degradation progressing?

Is degradation cumulative, stable, accelerating, or intermittent?

Does positive value still remain?

Has deterioration stopped without the lost value being recovered?

This creates a governed degradation history instead of reducing the entire lifecycle to a comparison between an original value and a final value.

---

## Value Degradation ≠ Value Change

Every degradation involves a change in value.

Not every change in value constitutes degradation.

Value may fluctuate temporarily, change composition, shift between beneficiaries, or move between different forms without entering a material deterioration pathway.

VDGS therefore asks whether the observed negative movement represents:

temporary variation

or

material Value Degradation.

This distinction prevents ordinary volatility from being incorrectly classified as structural or progressive deterioration.

---

## Value Degradation ≠ Value Nullification

VDGS governs:

Positive Value → Lower Positive Value

Value Nullification governs:

Positive Value → Zero Value

This boundary is essential for VFM®.

A machine operating at 40% of its original productive capability may still possess substantial value.

A technology that has lost most of its commercial relevance may retain intellectual, strategic, technical, or reuse value.

Infrastructure approaching the end of its intended lifecycle may retain operational or residual value.

Therefore:

Severe Degradation  $\neq$  Zero Value.

A degraded asset does not automatically become a ZVA™ — Zero Value Asset™.

---

## Multidimensional Value Degradation

Value does not necessarily degrade uniformly.

One dimension may decline while another remains stable or develops.

For example:

Economic Value ↓

Operational Capability ↓

Strategic Value →

Knowledge Value ↑

VDGS therefore supports multidimensional degradation governance.

This prevents deterioration in one dimension from being incorrectly interpreted as deterioration of every form of value associated with the governed object.

It also prevents improvement in one dimension from concealing material deterioration in another.

---

## Degradation Progression

VDGS treats degradation as a lifecycle process rather than merely a before-and-after observation.

A governed degradation pathway may appear as:

Stable Value → Initial Weakening → Observable Degradation → Material Degradation → Progressive Degradation → Severe Degradation → Residual Positive Value

Degradation may be:

linear

accelerating

decelerating

stepwise

cyclical

intermittent

cumulative

threshold-driven

or

compound.

The relevant progression depends upon the governed Value Context.

---

## Remaining Value Principle

The defining condition of VDGS is that positive value remains.

Conceptually:

Value > 0

while the relevant value trajectory is negative.

VDGS therefore governs the space in which value is deteriorating but has not yet crossed the boundary into a governed zero-value condition.

This makes remaining value as important as lost value.

---

## Residual Value

A degraded value-bearing object may retain value through:

remaining functionality; productive capability; alternative use; reusable components; knowledge; scarcity; strategic optionality; recoverability; conversion potential; another governed value basis.

VDGS therefore protects an important VFM® distinction:

Loss of Primary Value ≠ Loss of All Value.

---

## Use Case 1 — Industrial Infrastructure and

---

### Equipment

An organization operates an industrial production asset that originally delivers high productive capacity, reliability, precision, and economic utility.

Over time:

component wear increases

→ maintenance requirements rise

→ production interruptions become more frequent

→ precision deteriorates

→ energy consumption increases

→ productive capability declines.

The asset is clearly deteriorating.

But it remains operational and continues to generate positive economic value.

Without a governed degradation structure, the organization may treat each maintenance event, performance reduction, or reliability problem as an isolated operational issue.

VDGS allows these events to be interpreted as a Value Degradation trajectory.

The organization can govern:

Baseline Value Condition → Degradation Identification → Affected Value Dimensions → Degradation Magnitude → Progression → Remaining Positive Value

This provides a structured basis for understanding not merely whether the machine still works, but how its value is deteriorating through time.

The asset does not become zero-value merely because degradation is substantial.

A deteriorating asset remains a value-bearing asset until the governed value actually reaches the applicable zero-value boundary.

---

## Use Case 2 — Technology, Knowledge, and

---

### Digital Capability

An organization possesses a valuable technology platform, software system, dataset, proprietary methodology, knowledge base, or digital capability.

At one point it provides significant competitive and operational value.

Over time:

technology evolves

→ new alternatives emerge

→ interoperability weakens

→ knowledge becomes outdated

→ maintenance becomes more difficult

→ user adoption declines

→ operational relevance decreases.

The underlying object still exists.

It may still function.

It may still serve existing users.

It may retain intellectual, historical, strategic, technical, reuse, or migration value.

But its original value is progressively degrading.

VDGS allows the organization to separate:

existence of the asset

from

condition of its value.

It may determine that:

Operational Value ↓

Market Value ↓

Interoperability Value ↓

while:

Knowledge Value →

and potentially:

Strategic or Reuse Value ↑

This prevents a binary classification of:

valuable / worthless

and replaces it with a governed understanding of how value is actually changing across dimensions.

The result can inform modernization, migration, maintenance, reinvestment, recovery, replacement, or eventual nullification decisions without prematurely declaring the asset to have zero value.

---

## Enterprise Value

VDGS gives organizations an explicit governance layer for detecting deterioration before value disappears.

It can support governance of:

industrial assets; infrastructure; technologies; software; data; intellectual assets; organizational capabilities; knowledge systems; networks; commercial relationships; productive systems; strategic capabilities.

Its value lies in transforming deterioration from an informal observation into a governed lifecycle condition.

Instead of asking only:

“What is this worth now?”

VDGS enables organizations to ask:

“How did its value deteriorate, in which dimensions, at what rate, through what progression, and what value still remains?”

Foundational Principle

Value does not need to disappear in order to deteriorate. Value Degradation begins when existing positive value materially weakens; Value Nullification begins only when the governed value reaches zero.

Modul1

---

## Related Documents

[→ Value Degradation Standard \(VDGS\)](#)

[→ VFM® Complete Standards & Modules Index](#)

---

# OOF® MIP® Protection Notice

**OOF® · Protected under MIP® — Methodological Intellectual Property**

Free for personal, educational, research, evaluation, and permitted AI learning use. Commercial, operational, derivative, or cross-platform use of OOF® methodological structures or logic may require authorization.

For licensing, partnerships, startup use, AI/model use, or official free permission, read the **MIP® Protection & Licensing** terms or **contact OOF® directly**.

Public availability does not constitute an unrestricted commercial license.

**Active Protection & Compatibility Detection applies.**

## Canonical Source

<https://originopenfoundation.org/>